

Track 1 — Chapter Build Pass

MPEP Chapter 300 · Ownership and Assignment

Track 1 — Chapter Build Pass. Format: plain-English rule card → one worked example → one quiz question, per rule. A chapter close-out practice set and a memorize-this list follow, with all quiz answers consolidated in an Answer Key on the final pages. Read entirely offline — no interaction required.

Accuracy note: content is drawn from your uploaded MPEP file, translated into plain English. Spot-check anything with a specific legal test, number, or citation against your MPEP if precision matters for a specific question.

Overview: Who Owns the Patent Rights

A moderate-yield chapter, but it has a handful of precise, testable rules (the 3-month recording window, the independent-joint-owner default) that are easy points if you know them cold and easy traps if you don't.

Rule 1: Assignment Basics (§301)

PLAIN ENGLISH

An **assignment** is a transfer of the entire right, title, and interest (or an undivided share of it) in a patent application or patent. Assignment is a matter of personal property law, so state contract law generally governs the assignment document's validity, while federal law (the patent statute/rules) governs recording it with the USPTO.

EXAMPLE

An inventor employed by a company typically assigns their patent rights to the employer as a condition of employment. That assignment document is a contract, interpreted generally under state law, even though the underlying patent right is a creature of federal law.

QUIZ

What body of law generally governs whether an assignment document itself is valid as a contract?

- (A) Federal patent law exclusively
- (B) State contract law
- (C) International treaty law
- (D) USPTO internal regulations exclusively

Rule 2: Recording an Assignment & the 3-Month Constructive Notice Window (§302, §317)

PLAIN ENGLISH

Recording an assignment with the USPTO is not required to make the assignment itself valid between the parties, but it matters for priority against later purchasers: an assignment is void against a later bona fide purchaser for value without notice, **unless it's recorded within 3 months** of the assignment's date (or before the later purchase, if that's earlier).

EXAMPLE

An inventor assigns a patent application to Company A on January 1, but Company A doesn't record the assignment until August. If the inventor then fraudulently assigns the same rights to Company B (a bona fide purchaser without notice) in July, Company A's earlier, unrecorded assignment may be void against Company B, since more than 3 months had passed without recording.

QUIZ

An assignment must generally be recorded within how long to be protected against a later bona fide purchaser without notice?

- (A) 1 month
- (B) 3 months
- (C) 6 months
- (D) 12 months

Rule 3: Assignee's Right to Prosecute (§325)

PLAIN ENGLISH

An assignee who has been made of record (recorded assignment showing ownership of the entire interest, or the applicant has given the assignee power to act) may conduct prosecution of the application in its own name, taking over from the original applicant/inventor, once appropriate documentation of the assignee's ownership/authority is filed with the Office.

EXAMPLE

After an inventor assigns their entire interest in a pending application to a company, and that assignment plus the required statement is properly recorded/filed, the company (as assignee) can conduct further prosecution of the application directly, rather than the individual inventor continuing to act.

QUIZ

Under what condition can an assignee conduct prosecution of a patent application in its own name?

- (A) Never — only the named inventor may prosecute, regardless of assignment
- (B) Once ownership/authority is properly established and filed with the Office
- (C) Automatically upon filing any assignment document, recorded or not
- (D) Only after the patent has already issued

Rule 4: Joint Owners — Consent Requirements (§301, cross-ref)

PLAIN ENGLISH

Absent an agreement to the contrary, each joint owner of a patent or application may generally make, use, sell, or license the invention **without the consent of, and without accounting to, the other joint owners** — a rule that often surprises people, since it differs from typical co-ownership assumptions in other property contexts. This can create friction where joint inventors/owners have differing business interests.

EXAMPLE

Two co-inventors jointly own a patent with no separate agreement between them. One of them licenses the invention to a third party for royalties, keeping all proceeds, without needing permission from or paying anything to the other joint owner — this is permitted by default absent a contrary agreement.

QUIZ

Absent a contrary agreement, can one joint owner of a patent license the invention without the other joint owner's consent?

- (A) No, unanimous consent is always required
 - (B) Yes — each joint owner may generally act independently, without consent or accounting to the others
 - (C) Only with USPTO Director approval
 - (D) Only if the other owner is deceased
-

Rule 5: Government Interest & Security Interests (§313, §317)

PLAIN ENGLISH

Security interests (e.g., a patent used as loan collateral) can also be recorded with the USPTO's assignment records, though recording a security interest doesn't itself constitute recording of an assignment of title — the USPTO records documents affecting title without adjudicating their legal effect, so recording is a notice mechanism, not a legal validation of a document's substantive effect.

EXAMPLE

A bank recording a security interest in a patent (used as loan collateral) does this to establish notice/priority against later claims, but the USPTO's act of recording the document doesn't mean the USPTO has validated or adjudicated the security agreement's legal terms.

QUIZ

Does the USPTO's act of recording an assignment or security interest document mean the Office has adjudicated the document's legal validity?

- (A) Yes, recording is a certification of legal validity
 - (B) No — recording is a notice mechanism; the Office doesn't adjudicate legal effect
 - (C) Yes, but only for security interests, not assignments
 - (D) No, the Office refuses to record security interests at all
-

Chapter Close-Out: Mixed Practice Set

Mixing all rules above, in exam-style fact patterns. Answers are in the Answer Key at the end.

1. An assignment is executed January 1 but not recorded until 5 months later. A bona fide purchaser without notice acquires competing rights in month 4. What is the likely effect on the original assignment's priority?

- (A) No effect, the original assignment always wins
- (B) The original assignment may be void against the later bona fide purchaser, since it wasn't recorded within 3 months
- (C) The later purchaser automatically loses regardless of timing
- (D) Recording timing is irrelevant to priority

2. What body of law typically governs the validity of an assignment document as a contract?

- (A) Federal patent law exclusively
- (B) State contract law
- (C) USPTO internal rules exclusively
- (D) International treaty law

3. Absent a contrary agreement, can one joint patent owner grant a license without the other owner's consent?

- (A) No, never
- (B) Yes, independently and without accounting to the other owner
- (C) Only with a court order
- (D) Only if they own more than 50%

4. What must generally happen before an assignee can prosecute an application in its own name?

- (A) Nothing, it happens automatically upon assignment execution
- (B) Ownership/authority must be properly established and filed with the Office
- (C) The patent must already have issued
- (D) A court must confirm the assignment

5. True or False: USPTO recording of an assignment document certifies that the document is legally valid.

- (A) True
- (B) False

Memorize This: Key Tests & Terms

- Assignment validity as a contract = generally governed by **state law**.
- Record within **3 months** of the assignment (or before a later purchase) to protect priority against a bona fide purchaser without notice.
- Assignee needs properly filed **ownership/authority** before prosecuting in its own name — not automatic.
- Joint owners can generally act **independently** (make/use/sell/license) without consent or accounting to each other, absent an agreement otherwise.
- USPTO recording = **notice mechanism only**, not adjudication of legal validity.

Answer Key

All quiz answers for this PDF, in one place. Rule-card quizzes first, then the chapter close-out set.

Rule-Card Quizzes

Rule 1: Assignment Basics (§301)

What body of law generally governs whether an assignment document itself is valid as a contract?

Answer: B

Assignments are property transfers governed as contracts, so state law generally controls their validity and interpretation, even though recording and patent rights themselves are federal matters.

Rule 2: Recording an Assignment & the 3-Month Constructive Notice Window (§302, §317)

An assignment must generally be recorded within how long to be protected against a later bona fide purchaser without notice?

Answer: B

The 3-month recording window (or before a later purchase, if sooner) is the specific rule protecting an assignment's priority against subsequent bona fide purchasers — a precise, testable number.

Rule 3: Assignee's Right to Prosecute (§325)

Under what condition can an assignee conduct prosecution of a patent application in its own name?

Answer: B

The assignee needs to properly establish and file evidence of ownership/authority before stepping into the prosecution role — it's not automatic merely because an assignment document exists somewhere.

Rule 4: Joint Owners — Consent Requirements (§301, cross-ref)

Absent a contrary agreement, can one joint owner of a patent license the invention without the other joint owner's consent?

Answer: B

This default rule (independent action, no duty to account) is a frequently tested, counterintuitive point about joint ownership — very different from typical co-tenancy assumptions elsewhere in property law.

Rule 5: Government Interest & Security Interests (§313, §317)

Does the USPTO's act of recording an assignment or security interest document mean the Office has adjudicated the document's legal validity?

Answer: B

USPTO recording is purely a notice/priority mechanism — it doesn't mean the Office has reviewed or certified the underlying document's legal validity or effect.

Chapter Close-Out Quiz

1. (B)

Missing the 3-month recording window (with a later bona fide purchaser without notice in the picture) can void the earlier assignment's priority — this is exactly the scenario the rule targets.

2. (B)

State contract law generally governs an assignment document's validity as a contract, separate from the federal patent rights it transfers.

3. (B)

Default joint-ownership rules allow independent action (including licensing) without consent or accounting, absent an agreement otherwise — a frequently tested, counterintuitive rule.

4. (B)

Assignee prosecution requires properly establishing and filing ownership/authority with the Office — it isn't automatic.

5. (B) False

USPTO recording is a notice/priority mechanism only — it doesn't adjudicate or certify the legal validity of the recorded document.